Tamil Nadu's Automobile and Manufacturing Industry

Introduction

Tamil Nadu is one of India's leading industrial states and the country's most important centre of automobile manufacturing, producing a large share of India's cars, commercial vehicles, two-wheelers, tractors, tyres and auto components. Chennai and its surrounding industrial belt, which includes Sriperumbudur, Oragadam, Irungattukottai, Maraimalai Nagar, Hosur and Ennore, are home to the plants of many global and Indian carmakers. The state is also a major manufacturer of electronics, leather and footwear, textiles, engineering goods, railway coaches, defence equipment and, increasingly, electric vehicles and mobile phones. Its manufacturing success rests on a skilled workforce, strong ports, good road and rail links, a favourable industrial policy and a long industrial tradition.

Why Is Chennai Called the Detroit of Asia?

Chennai is called the "Detroit of Asia" or the "Detroit of India" because, like Detroit in the United States, which is known as the Motor City and was the world's centre of automobile manufacturing in the 20th century, Chennai has a huge concentration of automobile and auto-component manufacturing. The Chennai region produces roughly a third of India's automobile and auto-component output and a large share of the country's vehicle exports, and has been called India's automobile capital. The city has several large vehicle assembly plants and a dense network of component suppliers, along with automobile research and development centres, test tracks and the Chennai Port and Kamarajar Port at Ennore, which handle vehicle exports. The nickname reflects the scale of the industry, which employs lakhs of people directly and indirectly.

Name Three Automobile Companies in Chennai

Three automobile companies with large plants in the Chennai region are Hyundai Motor India, Renault-Nissan and Ashok Leyland. Hyundai Motor India began production at Irungattukottai near Sriperumbudur in 1998 and is one of India's largest car makers and exporters. The Renault-Nissan Automotive India plant at Oragadam, started in 2010, builds cars for the domestic market and for export. Ashok Leyland, one of India's largest commercial vehicle makers, is headquartered in Chennai, and was started in 1948 as Ashok Motors; it makes trucks and buses at Ennore, Hosur and Alwar. Other companies include BMW, whose first Indian plant was set up in Chennai in 2007, Daimler India Commercial Vehicles at Oragadam, producing BharatBenz trucks and buses, Royal Enfield, whose headquarters and main plants are at Oragadam and Thiruvottiyur, TVS Motor Company, headquartered in Chennai with plants at Hosur and Mysuru, Yamaha, Mitsubishi and Ford, whose plant at Maraimalai Nagar, opened in 1995, stopped making vehicles in 2022. Tyre makers include MRF, Apollo, Michelin and Bridgestone, and TAFE, Caterpillar and Komatsu make tractors and earth-moving equipment. Tamil Nadu's history in this field goes back to T. V. Sundaram Iyengar, who started the TVS group in Madurai in 1911 with a bus service, and Simpson and Company.

What Is the Sriperumbudur Industrial Belt Known For?

Sriperumbudur, about 40 kilometres west of Chennai in Kancheepuram district, is known as a major industrial and electronics manufacturing hub. The belt, developed by SIPCOT (State Industries Promotion Corporation of Tamil Nadu), along with nearby Oragadam, Irungattukottai and Mahindra World City, is known for electronics and mobile phone manufacturing and automobile and auto-component manufacturing. It hosts plants of Hyundai, Samsung, Dell, Flex, Foxconn, which assembles Apple iPhones and other electronics, Nokia's former factory, Saint-Gobain, Daimler and others, and has several special economic zones (SEZs). It is the heart of India's electronics exports from Tamil Nadu, which has become one of the largest electronics exporting states in India. The area is also noted for its association with the former Prime Minister Rajiv Gandhi, who was assassinated at Sriperumbudur in 1991, and as an example of planned industrial development bringing thousands of jobs.

Other Manufacturing Strengths

The Integral Coach Factory at Perambur, set up in 1955, is one of the world's largest railway coach manufacturers and produces the Vande Bharat trains and many metro coaches. The Heavy Vehicles Factory and the Engine Factory at Avadi make military vehicles and tanks. Tamil Nadu produces a large share of India's leather goods and footwear in Vellore, Ambur and Ranipet, textiles and garments in Tiruppur, known as the knitwear capital of India, cotton spinning in Coimbatore, pumps and motors in Coimbatore, fireworks and matches in Sivakasi, and locks in Dindigul. Chennai Port and Ennore Port are among the main ports in India. The state has strong information technology services on the Old Mahabalipuram Road, which is also called the IT corridor.

Electric Vehicles and the Future

Tamil Nadu is emerging as an electric vehicle (EV) hub. Ola Electric's Futurefactory in Krishnagiri, one of the largest electric two-wheeler plants in the world, Ather Energy's plant in Hosur, TVS Motor's electric scooters, and the EV plans of Hyundai and Renault-Nissan show the shift. The state's Electric Vehicle Policy of 2023 offers incentives. The state has also attracted global investment through the Global Investors Meet, held in January 2024 in Chennai.

Economy and Employment

Tamil Nadu has one of the largest state economies in India, with a strong share of manufacturing, and is among the most industrialised and urbanised states. The auto industry has a multiplier effect, as each vehicle plant supports hundreds of small suppliers, and the government supports skill development through ITIs and engineering colleges, such as the Madras Institute of Technology and Anna University.

Challenges

Challenges include the transition from petrol and diesel to electric vehicles, which could affect existing component makers, supply of semiconductors, dependence on imported battery cells, water availability, land costs and competition from other states. Companies such as Ford ending local vehicle production in 2022 showed the risks.

Quick Facts

- Chennai is called the Detroit of Asia because of its huge concentration of automobile and component manufacturing.
- Three automobile companies in Chennai are Hyundai, Renault-Nissan and Ashok Leyland; BMW and Daimler also have plants.
- Sriperumbudur is known for electronics, mobile phone and automobile manufacturing under SIPCOT.

- The Integral Coach Factory at Perambur was set up in 1955.
- Ola Electric's Futurefactory is in Krishnagiri, Tamil Nadu.